city's name is derived from that of the last village. The merchant families of the Setts and Basaks already ran sizeable business establishments here. There was a fourth village nearby, called Chitpur, from where the road ran all the way to the ancient temple of Kalighat. Just off this road, in the middle of tiger-infested jungle, was a Shiva temple erected by a hermit called Chowranghi. [1] The temple no longer exists, and the place is now occupied by the Asiatic Society on Park Street. The hermit's name, however, was retained as Chowringhee Road, which would become one of the city's principal arteries. In an act of misplaced nationalism, the road was renamed after Jawaharlal Nehru in the 1980s, which is especially inappropriate since the hermit was one of the original inhabitants of the place. Fortunately most citizens of Kolkata persist with the old name.

Job Charnock probably chose this site from a standpoint of defensibility. The river ran along the west of the site while there were marshy salt lakes to the east. To the south there were dense, tiger-infested jungles, while to the north there was a creek that ran from the river to the salt lakes and was navigable by large boats. Many of these features are still discernible. The creek has long since silted up but is remembered in place-names like Creek Row and Creek Lane. The eastward suburban extensions of the 1970s, officially called Bidhannagar, are commonly called Salt Lake, recalling the marshlands. A few of the lakes still exist as the East Kolkata Wetlands that provide the city with a unique natural sewage recycling system that is now protected under the Ramsar Convention.

Most of the early British settlement was build around a preexisting water tank called Lal Dighi that had been excavated by the Bengali merchant Lal Mohan Sett. The name Lal Dighi literally means Red Pond; there is a story that it gets its name from the colours used by the locals during the festival of Dol (or Holi). The waterbody still exists and stands in the middle of the business district. Soon, the British had built a number of substantial buildings around Lal Dighi, including a fort that they named Fort William. It stood on the site now occupied by the General Post Office and should not be confused with the later Fort William that we see today.